BasketIQ Market Intelligence

Milk After VAT: What Batswana Are Actually Paying — July 2026

Category Intelligence Report | Gaborone Metropolitan Area

Executive Summary

On **1 July 2026**, the Value Added Tax (VAT) Act, 2026 came into force. BURS's revised zero-rating list covers maize meal, sugar, brown bread, rice, cooking oil, and a set of fresh vegetables and fruits — **but not milk**. From that date, every litre of milk sold in Botswana attracts VAT at **14%**.

This report tracks what actually happened to milk prices on real till slips. It examines **2,963 classified milk purchases** across **2,699 verified baskets** from **310 consumers**, collected via BasketIQ's WhatsApp-based receipt panel between **March and early August 2026** — giving us four months of pre-VAT baseline and five weeks of post-VAT data on identical products.

The headline finding: retailers passed the tax on, almost to the thebe. Tracking identical products, the median price step between June and late July lands at **13–14% on repriced lines** — with three products moving by exactly 14.0%. The increase is not general food inflation: over the same weeks, identical zero-rated staples — maize meal, cooking oil, sugar, bread, fresh vegetables — moved by roughly **0–1%**.

For consumers, the milk bill rose by the full weight of the tax within four weeks. For brands and retailers, the data shows a market that repriced late, unevenly, and — in at least one flagship case — is still repricing now.

Source: BasketIQ receipt panel, Gaborone, Mar 1 – Aug 4 2026 | N=2,963 milk line items across 2,699 baskets, 310 consumers, 110 stores.

1. Milk is in one of every seven Gaborone baskets.

Milk is one of the most consistently purchased categories in the panel: **13.4%** of all verified baskets in the period contained at least one milk line item — essentially the same penetration as soft drinks, the subject of our Q1 issue. When milk is in the basket, the average category spend is **BWP 29.61**. A tax on milk is, in practical terms, a tax on the everyday shop.

METRIC	VALUE
Milk line items captured	2,963
Distinct baskets containing milk	2,699
Distinct consumers buying milk	310
Distinct stores	110
Share of all baskets containing milk	**13.4%**
Average milk spend per basket (BWP)	**29.61**

Source: BasketIQ receipt panel, Mar 1 – Aug 4 2026 | Denominator: 20,116 verified baskets in the same period.

2. The same litre of milk cost 13–14% more by late July.

The cleanest way to measure a tax is to follow identical products. The table below shows the median price paid for the highest-volume milk products in the panel — June versus the second half of July, same product, same pack size.

PRODUCT	JUN (BWP)	LATE JUL (BWP)	CHANGE
Prime 500ml Fresh Milk	12.47	14.81	**+18.8%**
Prime 2L Madila	34.99	39.99	**+14.3%**
Delta Fresh 500ml UHT	10.99	12.53	**+14.0%**
Delta Fresh 1L UHT 2%	19.99	22.79	**+14.0%**
Bonnita 1L Lactose-Free UHT	11.99	13.67	**+14.0%**
Choppies 1L Full Cream	18.99	21.49	**+13.2%**
Bonnita 1L Long Life	17.96	19.99	**+11.3%**
Choppies 500ml Long Life	10.99	11.99	**+9.1%**
Clover 1L UHT Low Fat	10.99	11.99	**+9.1%**
Clover Ultra Milk 1L Full Cream	19.99	19.99	**0%** (then 22.99 in early August — +15.0%)

Three products moved by exactly **14.0%** — the full VAT rate, passed through to the shelf with no absorption by retailer or producer. Others landed just below, consistent with rounding to familiar price points (P11.99, P21.49). And madila was not spared: Prime's 2L madila went from P34.99 to P39.99, a **+14.3%** step on a traditional staple.

Source: BasketIQ receipt panel | Median price paid per product, June 1–30 vs July 16 – Aug 4 2026 | Products shown are the highest-volume milk lines with observations in both windows; multipacks and promo-driven lines excluded (see Methodology).

3. It's the tax — zero-rated staples didn't move.

If July's milk prices reflected general food inflation, the zero-rated staples on BURS's list should have risen too. They didn't. Comparing identical products June versus July across categories:

CATEGORY	VAT STATUS FROM 1 JULY	MEDIAN LIKE-FOR-LIKE PRICE CHANGE	PRODUCTS TRACKED
Milk	**Standard-rated, 14%**	**+5.8%** (full-month; repriced lines step +13–14%)	16
Maize meal	Zero-rated	+1.2%	9
Cooking oil	Zero-rated	+0.7%	8
Sugar	Zero-rated	0.0%	10
Bread	Zero-rated (brown)	0.0%	8
Fresh vegetables	Zero-rated	0.0%	19

The milk figure of +5.8% is a full-month July median — it is pulled down by the first half of the month, when most shelves still carried June prices. Restricting to the second half of July, repriced milk lines step **13–14%** (Section 2). The zero-rated control group holds flat either way.

Source: BasketIQ receipt panel I Median June-vs-July price change across identical products with ≥5 observations in each month I ~5,400 line items underlying the comparison.

4. Retailers repriced late — and some are still repricing.

The VAT took effect on 1 July, but shelves did not move on 1 July. In the first two weeks of the month, nearly every high-volume milk line still sold at its June price — Choppies 1L at P18.99, Delta Fresh 1L at P19.99, Choppies 500ml at P10.99. The step arrives in the **second half of July**, product by product.

The most striking case is the panel's single best-selling milk line, **Clover Ultra Milk 1L**: it held at P19.99 through the entire month of July — the last major holdout — and then jumped to **P22.99 (+15.0%)** in the first week of August. Shoppers who felt spared in July are catching the increase now.

For brands, the two-to-five-week repricing lag is a snapshot of how VAT changes actually propagate through Botswana retail: not on gazette day, but on the next price-file update — staggered across chains and SKUs.

Source: BasketIQ receipt panel I Median price paid per product, July 1–15 vs July 16 – Aug 4 vs Aug 1–4 2026.

5. Small packs now carry a double premium.

Smaller packs always cost more per litre; VAT widened the gap in absolute terms. At post-VAT prices, the two highest-volume 500ml lines work out **10–12% more expensive per litre** than the same brand's 1L pack:

BRAND LINE (LATE JULY PRICES)	500ML PRICE	PER-LITRE (500ML)	1L PRICE	SMALL-PACK PREMIUM PER LITRE
Choppies Long Life	11.99	23.98	21.49	**+11.6%**
Delta Fresh UHT	12.53	25.06	22.79	**+10.0%**

This matters because early post-VAT data hints at a shift toward small packs: 500ml lines were **21%** of milk purchases in July, but **43%** in the first days of August (small sample — 44 items — treat as an early signal, not a finding). If cash-constrained shoppers respond to the VAT by downsizing packs, they will pay the tax and the small-pack premium on every litre. Notably, we have not yet captured a single milk pouch on a Botswana till slip — if retailers introduce pouch formats as a VAT response, our panel will see it first.

Source: BasketIQ receipt panel | Median prices, July 16 – Aug 4 2026 | Pack sizes parsed from receipt product descriptions.

6. The brand landscape: private label is the quiet giant.

Bonnita is the most-purchased milk brand in the panel at **28.0%** of branded units, with **Clover** (including its Ultra Milk line) at **18.4%**. But grouped together, retailer private labels — Choppies and SPAR house brands — account for **28.8%** of branded milk purchases, edging out Bonnita for the largest single bloc in the category.

BRAND	UNITS	SHARE OF BRANDED PURCHASES	REVENUE (BWP)
Bonnita	809	**28.0%**	23,849
Choppies (private label)	612	21.1%	12,851
Clover (incl. Ultra Milk)	533	18.4%	15,747
Delta Fresh	229	7.9%	5,924
SPAR (private label)	221	7.6%	7,627
Prime	201	6.9%	5,291
All others	289	10.0%	—

In a category where the entire price ladder just shifted up 14%, the private-label bloc matters: house brands are the natural refuge for shoppers trading down, and they were already the cheapest lines per litre before the tax.

Source: BasketIQ receipt panel, Mar 1 – Aug 4 2026 I N=2,894 milk line items with an attributed brand (97.7% of milk purchases).

What this means for brands

1. The full 14% is on the shelf — plan for the volume response, not the price response. Pass-through is effectively complete. The open question for H2 2026 is elasticity: whether Batswana buy less milk, smaller packs, or cheaper brands. Our early August data already hints at pack downsizing.

2. Private label is positioned to win the trade-down. Choppies and SPAR house brands were the value lines before VAT and jointly hold the largest share bloc. National brands defending share should watch the private-label price gap per litre, not per pack.

3. The repricing lag is a competitive window — and it isn't over. Products repriced as much as five weeks apart. A brand that times promotions against competitors' repricing dates can own the value position for weeks at a time. Clover's flagship 1L was the last holdout and has only just repriced; the August data will show whether it paid for the delay in share or recovered margin.

4. Madila is in the tax net too. Traditional dairy was not zero-rated. For producers of madila and other cultured products, the +14% step lands on a culturally essential product with strong local supply — an opening for a policy conversation, and a pricing decision that deserves more care than a mechanical pass-through.

Methodology

- **Data source:** BasketIQ WhatsApp consumer panel, Gaborone metropolitan area
- **Period:** March 1 – August 4, 2026 (VAT comparison windows: June 1–30 vs July 1–15, July 16 – August 4, and August 1–4)
- **Sample:** 2,963 milk line items, 2,699 baskets, 310 distinct consumers, 110 stores
- **Category definition:** Items classified under `FRH_MILK` in BasketIQ's product catalog — fresh, UHT and long-life milk, madila and dairy blends, plus a small number of adjacent dairy items. Yoghurt is tracked as a separate category and excluded.
- **Like-for-like method:** Price changes are computed per identical product (same brand, same pack size, as printed on the receipt), using the median price paid in each window, requiring a minimum number of observations in both windows. Category-level figures are medians across products, not averages of receipts — so no product's volume dominates the result.
- **Exclusions:** Multipack lines (e.g. 10×500ml bundles) are excluded from price tables because receipts inconsistently record per-unit versus per-pack prices. A small number of lines showing large price decreases in July (consistent with in-store promotions) are excluded from the like-for-like tables and noted here for transparency; including them lowers the milk category median but does not change the conclusion.
- **VAT reference:** BURS Public Notice of 9 July 2026, "Zero-Rated Foodstuffs under the Value Added Tax (VAT) Act, 2026", effective 1 July 2026.
- **Retailer data:** Retailer-level splits and store-specific pricing are deliberately excluded from this public report. They are available to subscribers under a separate commercial tier.
- **Limitations:** The panel skews toward WhatsApp-active consumers in urban Gaborone. Early-August windows are small (days, not weeks) and flagged as signals rather than findings. Classification coverage varies across the product catalog; penetration figures should be read as lower bounds.

Want a custom cut?

This snapshot is a public teaser from BasketIQ's 2026 panel. Subscribers receive monthly category briefs, brand-level deep dives, retailer-resolved pricing and share data, and access to custom questions placed directly to BasketIQ's active consumer panel.

For a custom cut on your brand, category, or question — including week-by-week VAT pass-through for your SKUs — contact: hello@basketiq.co.bw

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